

Sales

by Sophia



WHAT'S COVERED

In this lesson, you will learn about the ethical challenges related to sales. Specifically, this lesson will cover:

1. Common Ethical Issues for Salespeople

Salespeople are often caricatured as unethical, from the cartoons of pushy door-to-door salespeople to Alec Baldwin's famous "coffee is for closers" scene in the movie *Glengarry Glen Ross*: ruthless, greedy, and relentless. However, in one study, salespeople were less likely to engage in exaggeration of their skills and abilities than professors, politicians, and preachers. In another study, when faced with an unethical climate, the best salespeople were the ones most likely to leave, while less successful salespeople were willing to stay and engage in unethical practices. These studies surprise many people, but only people that aren't in sales. Most salespeople are scrupulously ethical and are in sales because they really enjoy working to help people solve problems.



REFLECT

Does the information above surprise you? What image do you have when you think of "salespeople"? If you do have a negative stereotype, is it based on personal experience? If you have a positive perspective of salespeople, is that based on personal experience, perhaps your own professional experience or someone close to you?

In the United States, two basic principles of business are that:

1. Everyone should have an equal opportunity to earn our business.
2. The customer remains free to make a choice.

Many of the most common situations salespeople face involve these two principles, that is, any salesperson trying to edge out the competition through unethical behavior, or anything that interferes with the customer making a reasonable choice.

1a. Gifts

Gifts of various sizes are common for both existing and prospective customers. The gifts may be simple "swag," or minor items like pens, keychains, and tote bags with the company's logo. But gifts also might entail expensive luncheons or entertainment, such as box seats at a sporting event. The concern is when the gift is so extravagant that it is considered a bribe. In some companies, such as IBM and Walmart, buyers are not allowed to accept so much as a free cup of coffee from a seller. These companies do not allow their buyers to

receive even promotional items such as a pen or coffee cup with the seller's logo on it because they want every vendor to have free access to sales opportunities and earn the business on their merits, not their freebies. This is an unusually strict policy, but any buyer would question the motives of a salesperson giving too large a gift.



➞ **EXAMPLE** Many vendors will send their clients holiday gifts at the end of the year, usually candy or other treats. This is normal practice, but some companies might not allow staff to accept even these occasional treats.



REFLECT

Even a small gift you didn't ask for might make you feel indebted to the person who gave it. Have you ever received a gift you didn't expect that made you feel you owed the person something?

1b. Special Favors

What if a client asks a salesperson to "throw in" something extra?

➞ **EXAMPLE** A client might ask to meet "over lunch," at a fine restaurant, with the clear expectation that the salesperson will pick up the check.

The first issue in meeting the request may be company policy. Customers probably don't know that their special request could get the salesperson in trouble. In that instance, the salesperson should not follow through on the request, or make sure it is cleared with company leadership.



The second issue is that such requests are unfair to other customers and may even be illegal. What if the special request is for a discount? Pricing discrimination laws could come into play if such a discount is not made available to all who ask. What if the request isn't illegal, but other customers find out and get upset that they weren't offered the same benefit? Then the salesperson may get a reputation for being untrustworthy. If you do meet the request of one customer, it should be available to all customers.

1c. Confidentiality

A salesperson might have confidential information about their clients as a matter of business, but that salesperson does not have the right to share that information with anyone else. Even how much of the product the customer bought, or what they offered, is confidential information. Betraying it would often hurt the customer.



➞ **EXAMPLE** In real estate, an agent representing a buyer might want to know what other offers the seller has so they can make a competitive offer but not exceed others by too much. The agent may be tempted to tell, both to raise the offer (and their own commission) and to possibly get the favor returned at a future time, but the laws and ethics prevent this.

In many cases, a buyer may ask the seller to sign a non-disclosure agreement, covering any confidential information revealed to the seller. Even if there is no non-disclosure agreement, courts are likely to agree with the buyer that the seller has an obligation to protect the buyer's information.

➞ **EXAMPLE** A person who sells advertising space on television might be talking to one retailer about their holiday commercials, when the client starts to ask what other retailers have planned for sales and other incentives to get people in the store. An ethical salesperson won't divulge any information that is not yet public; it gives the competitor an opportunity to revise their own plans to

undercut the competition.

1d. Use of Company Time

While many ethical issues for salespeople are about client relations, there is also an ethical responsibility to their company. Salespeople spend a lot of time out of the office, calling on clients, so they must be honest in accounting for their time. They might also spend time in recreational activities like golf with clients instead of merely conducting business.



➞ **EXAMPLE** A salesperson sets up a tee time with a client who is also an old friend. There is no real business need to the round, but it gives it the appearance of business, perhaps even permitting them to pay the course fees for both of them on the company credit card.

This raises the question of whether the salesperson is cheating the company out of time and effort. While the answer is generally “yes” if they are paid by the hour, many salespeople are paid entirely on **commission** (a percentage of each sale). Is it cheating the company out of time and money if the salesperson is not getting paid? It is a difficult question because sales is largely about relationships, and the payoff to a salesperson might be long-term. But some would say that the company is being cheated out of potential profits if the person they think is representing their company is not actively making sales.

1e. Sales Techniques

Manipulation, a form of unethical sales behavior, unfairly reduces or eliminates a buyer’s ability or opportunity to make a clearheaded choice. Manipulation can include misrepresentation, or claiming a product does something it doesn’t, but it can also include withholding important information, or using hard-sell tactics, such as forcing a quick decision, softening a client’s resolve with drinks, and other unfair sales tactics. Persuasion, on the other hand, may influence a buyer’s decision, but the decision remains the buyer’s.



➞ **EXAMPLE** In real estate and auto sales, among other industries, the salesperson might pressure the buyer by saying they have other offers. This in fact might be the truth, and they simply want the customer to know the risks of taking time to think about it, but it also applies pressure to make a quick decision—and a quick profit.



TERMS TO KNOW

Swag

Small gifts that are usually acceptable from salespeople, such as pens, tote bags, and keychains, usually with the company logo.

Commission

A percentage of sales that goes to the salesperson; in many fields (like real estate), this is their sole income.

2. Company Safeguards

Salespeople often work in the field face-to-face with clients (called outside salespeople) and are therefore not under constant supervision. Even **inside salespeople**, who work completely from the home office and sell products using the internet and phone, as opposed to calling on clients face-to-face, may be able to get away

with less than ethical behavior, as no supervisor can watch or hear everything they do. So, how do companies manage ethical practices?

The first step is to develop policies based on the company's mission and values that describe what is acceptable and what is not. Good ethical policies not only list or describe appropriate and inappropriate behaviors, they also describe the underlying principles. Not all potential ethical problems can be covered in a policy, but by outing the principles and values that make up the reasoning behind the policies, salespeople and sales managers will be more prepared to respond appropriately.

As you will soon learn in the Unit 2 touchstone, a code of ethics can be quite detailed and cover each facet of employment, with specific guidelines for how salespeople should interact with customers. They also detail how other companies' vendors should be treated, i.e., how to treat sales staff you interact with in the course of your job.



To see an example of a brief code of ethics for salespeople, visit Sales and Marketing Executives International's website, smei.org/mission/salescode.

A good second step is to train all salespeople and sales managers on the policy. One reason for such training is to secure greater support and application of the policy, but another reason is that should a salesperson engage in an unethical or illegal activity, the company is protected. The Federal Sentencing Guidelines (FSG) were first developed in 1987 and then updated in 2007, and specify what happens to companies when employees commit breaches of ethics. Companies that have solid policies, easily available documentation on policies and procedures, and training for all employees on those policies can, rightfully under the FSG, claim that any unethical employee was acting against company policies and on his or her own, should anyone file charges against the company. Solid policies and employee training can then be used as a defense against such charges, and the company would not be held liable.



You can review the complete Federal Sentencing Guidelines here: www.ussc.gov/guidelines/2021-guidelines-manual-annotated.

Yet training alone is insufficient. The company must also enforce the policy and have procedures in place that make enforcement possible. For example, a company should have a mechanism for reporting unethical activity in a way that protects the person making the report. Many companies have anonymous message boxes that enable an employee to report unethical activity. One similar and common practice is to have an ethics office, charged with investigating any complaints. The FSG requires that companies also have internal auditing procedures to ensure that misconduct can be detected.

Note that these codes of ethics, the FSG, and the policies and procedures affect all employees. These were not created just because of salespeople. Marketers have faced ethics challenges in how claims are made in advertising, while supply chain managers have encountered dilemmas in dealing ethically with vendors. Managers in any area of the firm encounter challenges regarding equal opportunity and creating an appropriately professional work environment.



Inside Sales

Sales that are conducted within the home office, instead of making sales calls.

3. Sales Managers

Sales managers face the same challenges as all salespeople, and the challenges of all managers. These include ensuring that hiring, compensation, and other management practices are not discriminatory; that sexual harassment finds no home in the workplace; and that employees are treated with dignity and respect.

Other challenges may arise, though. For example, with sales staff frequently out of the office, they are harder to supervise and train. If sales staff are paid on commission, the training recommended above is harder to schedule—it is time the staff person can't be out making sales. But the biggest challenge is being accountable for the staff when they are on sales calls, each bringing their own personality and style to their customer interactions.



THINK ABOUT IT

A customer complains that a salesperson was inappropriate in a meeting, such as making racist or sexist comments. What do you do as a manager? You can reprimand or fire the salesperson, but the sale is likely already lost.

You might be surprised to find that sometimes sales managers do let customers go rather than hold sales staff accountable, preferring the loss of one commission over the loss of a salesperson with a good track record. Do you agree or disagree?

There are also various regulations to enforce with sales staff. For example, the Uniform Commercial Code (UCC) determines when a sale is finalized. Typically, a sale is finalized when the product is delivered and accepted by the buyer. In most instances, the customer can cancel the order with no penalty unless they have already received the goods. Sales managers have to be aware of such laws in order to avoid creating policies that are illegal.

Other laws that affect sales operations include pricing discrimination, privacy, hiring practices, and workplace safety. If operations include international sales, the Federal Corrupt Practices Act—which prohibits bribery and other practices that might be culturally acceptable elsewhere but that are illegal in the United States—comes into play. For these reasons, sales managers should develop close working relationships with the human resources department. These professionals, along with the legal department, are charged with staying abreast of legal changes that influence management practice and must have good relationships with sales staff to make sure the regulations are met.



BIG IDEA

Remember, studies show that most salespeople tend to be ethical people. However, there are those who want to make the sale at any cost. The manager's role is to provide clarity and guidance, both by making sure staff know the policies and laws, and by setting a good example.



SUMMARY

In this lesson, you learned about many **common ethical issues associated** with sales, such as **gifts** and **special favors**. While the occasional lunch or company-branded swag are common, a line can easily be crossed into bribery. Most companies have guidelines to help salespeople make good decisions. Other ethical issues include **confidentiality** and **use of company time**. Perhaps the most infamous of unethical sales practices are pushy, misleading, or other manipulative **sales techniques**. Effective professionals recognize ethical actions consistently reinforce trust and build the brand. **Company safeguards** can assure that salespeople have clear expectations, which can be done with

both a detailed code of ethics and by outlining general policies so staff know what to do in unexpected situations. **Sales managers** are also important, and are tasked with staying abreast of state and federal regulations and making sure their sales staff are in compliance.

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